

Measure rule. Use the measure rule to help predict a price target. [Figure 48.6](#) shows an example. The trend starts at point A and climbs to the pennant. Take the difference between the top (intraday high) of the pennant at its start (B at 10.69) and the trend start low (point A, at 7.50) to get the flagpole height of 3.19. Add this value to the intraday low at the pennant end (point C at 11.44, the day before the breakout) to get the price target (14.63). Price climbs to the target 3 days after the breakout.

How often does this work? Page back to the Results Snapshot at the start of this chapter. You'll see that the measure rule (percentage meeting price target) works between 32% and 46% of the time. It performs worse in bull markets than in bear markets, but it's still well below what I like to see. It's more accurate to say it doesn't work the majority of the time. I'll refine that assessment in [Table 48.12](#).

[Table 48.10](#) Trading Tactics

Trading Tactic	Explanation
Measure rule	Calculate the price difference between the start of the trend and the start of the pennant. Price should move at slightly less than this amount above (for uptrends) or below (for downtrends) the end of the pennant.
Wait for breakout	Take a position in the stock once price closes outside the pennant boundary.
Close out trade	Close out the trade when price stalls, usually as it approaches the measure rule target or a support/resistance zone.

Wait for breakout. Since pennants do act as reversals occasionally, it is best to wait for the breakout. A breakout occurs when price closes outside the pennant boundary. Only then should you take a position in the stock. Do not procrastinate, because delays may be costly. You may wish to place a trade at the pennant trendline boundary to get into the trade faster, but it's more risky (false breakouts). A more conservative approach is to wait for price to close above the top of the flagpole (assuming price in the flagpole trends up and the pennant slopes down).